insurance cos, pension funds, etc., in shares and debentures.

Depository Receipts

Companies of a country can go abroad to sell their shares in foreign capital market. When a foreign investor buys shares of domestic companies abroad (in capital market), he is issued a receipt by a custodian bank. This receipt represents a certain number of underlying shares of domestic companies and hence they are called depository receipts.

The depository receipts raised by Indian companies in the American market are called American Depository Receipts (ADRs) and those that are raised in some other countries are called Global Depository Receipts (GDR). The depository receipts raised by foreign companies in Indian market are called Indian Depository Receipts (IDRs).

Offshore Funds

Offshore funds, also called international funds, are mutual fund schemes investing in international markets. The investments invested through these funds are included here.

vi. Other Flows

Other flows include delayed export receipts, leads and lags in export receipts (the difference between the customs data and the banking channel data), funds held abroad, and other capital transactions not included elsewhere such as flows arising from cross-border financial derivative and commodity hedging transactions, and sale of intangible assets such as patents, copyrights, trademarks, etc.

The difference between the customs data and the banking channel data arises because banking channels data relies on foreign exchange release/receipt returns which are actual cash outgo and cover all flow and customs data are based on bills of entries (import document filed